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Sir Osborne Arkell Smith: The Saga of the First RBI Governor

As EARLY AS 1926, WHEN serious thought was being given to the setting up of the RBI, Montagu Norman, had Sir Osborne Arkell Smith, an Australian national and a suitable conservative banker in mind, to become the first Governor of the RBI. Smith had spent nearly twenty years in the Bank of New South Wales, Australia's largest trading bank. He later joined the Commonwealth Bank of Australia which though not a central bank in the formal sense, undertook both commercial and central bank functions. He was its London manager when he joined the Imperial Bank in 1926 as a Managing Governor in which capacity he successfully steered the Imperial Bank through the Depression, and also carried out significant reforms for reorganizing its working.

From the time the setting up of the RBI was discussed in the late 1920s, there were grave doubts in New Delhi as to how the bank would evolve. There were fears that the bank would tilt sympathetically towards Indian nationalist interests. The Bank of England was also worried about its influence over the RBI in the future and therefore much depended on the type of person chosen as the Governor. Deshmukh observed, 'Plans, characteristic of the foresight that the British bring to bear on public affairs in order to preserve what they regard as their own legitimate interests, were made to ensure that the first Governor of the Reserve Bank would be a person on whom the Bank of England could rely and of whom they could